Analysis of the Indian Personal Loan Landscape (2004–2025)

Project Metadata

- **Analyst:** Arshin Akram
- **Data Source:** Reserve Bank of India (RBI) Historical Database (2004–2025)
- **Technical Stack:** Power BI Desktop, Power Query (ETL), DAX Modeling
- **Subject:** National Consumer Credit & Personal Loan Trends

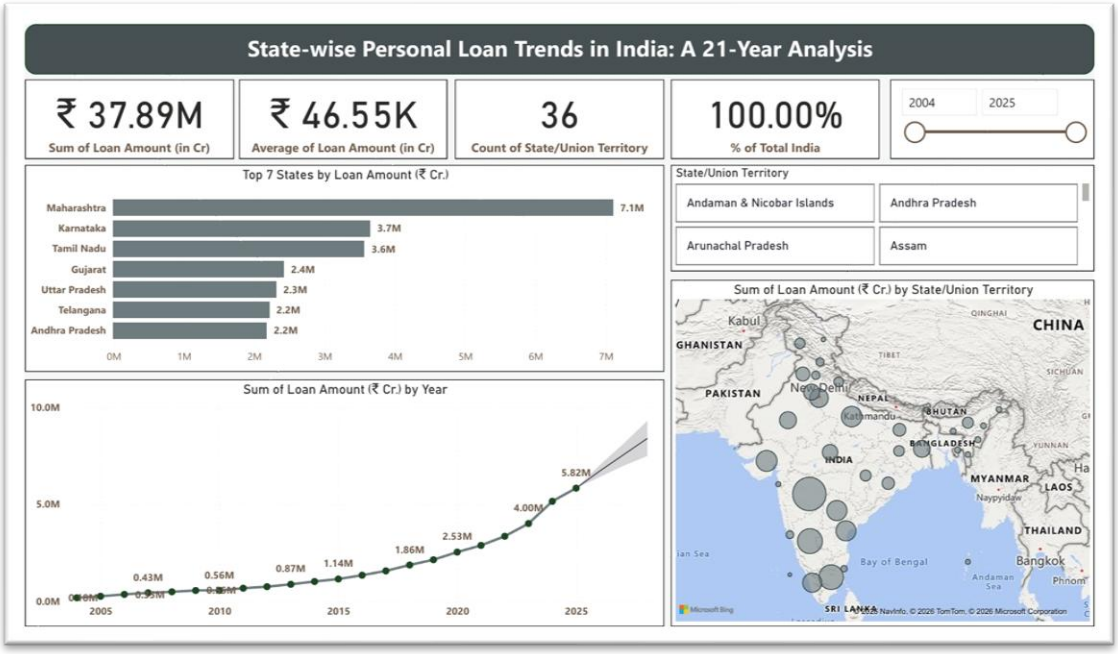

Figure 1: Comprehensive Dashboard of India Personal Loan Trends (2004–2025).

1. **Introduction**
   The objective of this report is to analyze the long-term trends of personal loan disbursements in India. Using 21 years of historical data from the Reserve Bank of India (RBI), the analysis identifies key growth periods and regional market leaders.

2. **Data Preparation (ETL Process)**
   To ensure the accuracy of the insights, several data transformation steps were performed:
   a. **Unpivoting:** Converted the raw RBI "Wide" format into a "Long" format to enable time-series analysis.
   b. **Data Validation & Reconciliation:** During the initial data load, the dataset contained 37 entities, reflecting historical reporting. I performed a manual reconciliation to merge Dadra & Nagar Haveli and Daman & Diu into a single Union Territory. This corrected the "Count of States/UTs" KPI to 36, aligning the dashboard with the official administrative restructuring of India effective since January 2020.
   c. **Visual Formatting & Scale Optimization:** While the raw data was provided in Crores, I implemented custom currency formatting and data labeling to ensure the dashboard remains readable at a multi-million scale. I added the ₹ symbol and optimized callout values to maintain professional financial reporting standards.

3. **National Market Overview**
   a. **Total Market Volume:** As of the latest data, the total disbursed amount stands at **₹37.89M Cr**.
   b. **Growth Curve:** The market remained steady for over a decade before entering an aggressive growth phase post-2021. This "Hockey Stick" curve reflects the rapid adoption of digital lending platforms.

4. **Regional Market Share (Focus on Karnataka)**
   A key finding of this report is the concentration of credit in India's primary economic engines. By analyzing the regional breakdown, we can identify the top contributors to the national loan volume:
   a. **Maharashtra:** Remains the undisputed leader in personal loan disbursements, reflecting its status as India's financial capital.
   b. **Karnataka:** Stands as the second-largest market (accounting for **9.64%** of national share), driven by its high density of tech professionals and fintech adoption.
   c. **Tamil Nadu:** Follows closely as the third major hub, showcasing steady credit demand in the southern corridor.
   This distribution confirms that credit demand is highest in states with strong urban centers and a growing formal workforce.

5. **Future Outlook (Forecasting)**
   Using Power BI's built-in forecasting models (Exponential Smoothing), the data projects a continued upward trend. The forecast suggests that despite global economic shifts, India's domestic credit demand remains resilient, especially in Tier-1 states.

6. **Conclusion**
   The 21-year analysis proves that India's personal loan market has shifted from a slow-growth traditional sector to a high-velocity digital ecosystem. For financial institutions, focusing on high-contribution states like Karnataka is essential for maintaining a competitive edge.